that a majority of the offices are vacant. Shah disputes it. "IFSC offices," he says, for instance, "share the tower with Bank of America, which has taken up space from the 4th to the 27th floor. Some 2,400 people work here and I see the offices buzzing every day."

But while the money may move here, attracting specialised local talent will be a challenge for start-ups. The PwC paper cited earlier raises this very concern: "Unlike IT giants that hire their workforce in large numbers and have robust infrastructure to train their employees before deploying them across the country, the employment process in start-ups is very narrow. They prefer to hire locally to retain talent and avoid additional costs such as relocation."

Several fund managers that INDIA TODAY spoke to also point to the 10-year tax holiday, which they claim is not enough. "Funds cannot be parked in multiple offshore places. It takes several years of confidence, consistency and credibility to establish offices in an IFSC. For us to shift existing offices from Singapore and Dubai to Gandhinagar, clients demand security as much as tax holidays. What if there is a change in the central government, or another prime minister does not renew these tax holidays?" asks a fund manager who specialises in managing family offices, one of the GIFT City's targets announced recently. Despite such apprehensions, however, he says, most mid- and large-sized fund managers have taken up token space in GIFT.

On the other hand, the region's IT industry, being cajoled by the authorities to set up their offices in GIFT DTA, refuses to bite the bullet, even for the sake of tokenism. Though GIFT officials claim the DTA's reliable infrastructure and ecosystem, with proximity to the IFSC & SEZ, are a great draw, a member of an Ahmedabad-based business association argues that in the absence of tax holidays in the DTA, not much differentiates it from the available office space in the city. "Local IT players are mostly MSMEs with limited budgets. Getting staff to travel 40 km daily from Ahmedabad does not make sense."

A Mumbai-based fund manager, who specialises in managing Japanese, Korean and Taiwanese investors, claims international companies are "petrified" of Indian regulators, the retrospective changes in tax laws having put them off before. "GIFT has potential, but it will take years of confidence-building for corporations to genuinely buy into the concept," he says. "Currently, most have come in due to personal push by the PMO or for the sake of their other projects in the country." Jain, too, believes it will take years for the IFSC to come into its own. "My wife has a career in Mumbai, and my children too would never agree to move here. Till families move here for good, GIFT will be relegated to a back office of these big brands," says Jain. C-suite executives and senior managers, he adds, choose to work from elsewhere, flying in for just a few days a week. "People who make money," he explains, "aspire to live in good places that offer a wholesome lifestyle. All dots need to be connected."

Well, 'connecting the dots' is exactly what has been on the government's agenda, even if its pace leaves much to be desired. Swanky gated communities with the latest amenities, surrounded by restaurants, movie theatres, state-of-the-art health facilities and international education—all on the banks of the Sabarmati—make it a complete GIFT package. "Some of the leading realtors are constructing their signature infrastructure here," says Shah. In the 2022 Union Budget, finance minister Nirmala Sitharaman announced that permission has been given to "world-class foreign universities" to set up campuses in GIFT City. These universities are free from domestic regulations. At least two Australian varsities—Deakin University and the University of Wollongong—will commence academic sessions at GIFT City in 2024.

That said, most of the construction is still under way. Over the past decade, 330 affordable houses were built exclusively for the GIFT City employees to buy. They remained vacant until being put up for sale in the open market three years ago. Recently, the urban planning of the surrounding four villages was handed over to HCP, the architect Biman Patel's firm, who has been associated with PM Modi for over two decades and has overseen some grand redevelopment projects like the Central Vista in New Delhi.

But as a consultant at one of the top firms, who refused to move to Gandhinagar despite a higher pay package, says, such "patchwork" does not make a substantive whole. "Diversity of ideas and opportunities need to organically blossom so that talent naturally gravitates here," he says. "For GIFT City to grow, Ahmedabad and Gandhinagar need to develop as cosmopolitan hubs like Mumbai and Bengaluru." And that is still some distance away. ■

TOUGH COMPETITION

What other fintech hubs on this side of the globe offer

SINGAPORE



- The third-largest foreign exchange market, after the US and UK
- Tax rebates/ incentives for variable capital companies (type of investment firms) and family offices to attract fund managers
- Located along the Strait of Malacca, an arterial shipping route

HONG KONG



- No tax on capital gains or dividends
- Capital account fully convertible, i.e., currency exchange can happen without any restriction on the amount
- Gateway to Mainland China

DUBAI



- 50-year tax holiday on corporate income/profits
- 100% foreign ownership allowed without the need for any local partner
- No currency exchange controls, or curbs on returning capital/profits to primary country of investment